

Leveraged Buyout (LBO) Model Project

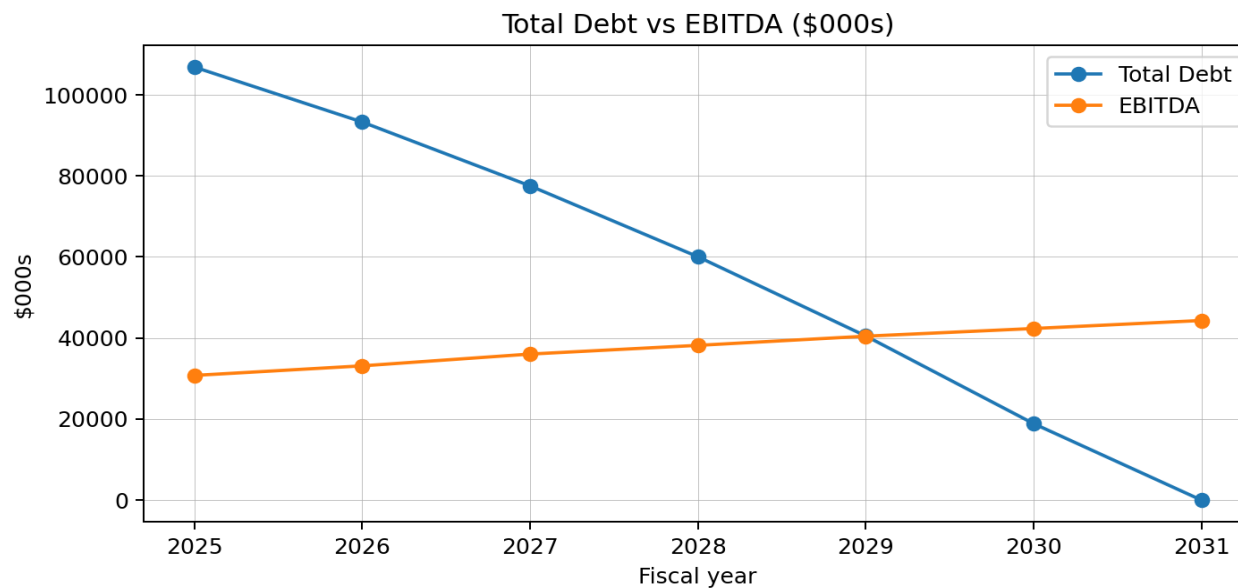
Megamart Co. - PDF version of the uploaded Excel LBO model

Project Item	Details
Source workbook	Copy of LBO_Model_Solved(1).xlsx
Model units	USD \$000s unless otherwise stated
Forecast period	2025 to 2031
Core modules	Assumptions, Financing, Sources & Uses, Credit Metrics, Income Statement, Balance Sheet, Cash Flow, Working Capital, Debt Schedule, Closing Balance Sheet, DCF & Returns
Main output	Sponsor IRR 30.0% and Sponsor Cash-on-Cash 5.89x

This PDF has two parts: a clean project report with the main LBO outputs and a complete appendix that carries the Excel model content from rows 1-356. Blank Excel spacer rows are removed in the appendix only to keep the PDF compact.

1. Executive Summary

Metric	Output
Target company	Megamart Co.
Live operating case	Upside Case
Error checks	OK
Enterprise Value	\$150,000
Equity Offer Value	\$190,468
Offer price/share	\$12.70
Premium/(discount)	15.4%
Entry EV/EBITDA	6.00x
Exit EV/EBITDA	6.00x
Total Sources / Uses	\$213,274
Sponsor Equity	\$48,505
Sponsor IRR	30.0%
Sponsor Cash-on-Cash	5.89x
Exit Year EBITDA	\$44,321
Terminal Enterprise Value	\$265,924
Terminal Equity Value	\$280,836



Key interpretation: the model shows significant deleveraging through the holding period, ending with zero debt by exit and terminal equity value of \$280.8 million on a \$48.5 million sponsor equity investment.

2. Transaction Assumptions and Sources & Uses

Assumption	Value
Target share price	\$11.00
Transaction close date	2024-06-30
Normalized EBITDA for valuation	\$25,000
Target debt	\$16,801
Target cash	\$57,269
Minimum cash balance	\$10,000
Tax rate	30.0%
Fully diluted shares outstanding (000s)	15,000

Financing Structure

Type	x EBITDA	\$ Value	% of Total	Financing Fee	Coupon	Sweep
Cash (target)		\$47,269	22.2%			
Line of Credit	0.25x	\$6,250	2.9%	1.5%	3.0%	na
Term Loan 1	2.00x	\$50,000	23.4%	1.5%	5.0%	50.0%
Term Loan 2	2.00x	\$50,000	23.4%	1.5%	7.0%	50.0%
Sub Debt 1	0.45x	\$11,250	5.3%	1.5%	12.0%	0.0%
Sponsor Equity		\$48,505	22.7%	0.5%	na	na
Total	4.70x	\$213,274	100.0%			100.0%

Sources & Uses of Cash

Sources of Cash	Amount	Uses of Cash	Amount
Cash (target)	\$47,269	Cash Consideration	\$190,468
Line of Credit	\$6,250	Stock Consideration	\$-
Term Loan 1	\$50,000	Target Debt - Replace	\$16,801
Term Loan 2	\$50,000	Debt Financing Fees	\$1,762
Sub Debt 1	\$11,250	Equity Financing Fees	\$243
Sponsor Equity	\$48,505	Other Closing Costs	\$4,000
Total Sources	\$213,274	Total Uses	\$213,274

3. Operating Model and Credit Metrics

Income Statement Highlights

Metric	2025	2026	2027	2028	2029	2030	2031
Revenue	82,108	85,392	89,661	94,145	98,852	102,806	106,918
EBIT	24,369	26,700	29,524	31,544	33,626	35,307	37,044
Current Taxes	5,143	6,041	7,127	8,023	8,996	9,905	10,876
Net Earnings	11,999	14,095	16,629	18,719	20,990	23,111	25,378

Credit Metrics

Metric	2025	2026	2027	2028	2029	2030	2031
Total Debt	\$106,842	\$93,288	\$77,530	\$60,040	\$40,497	\$18,874	\$-
Net Debt	\$96,842	\$83,288	\$67,530	\$50,040	\$30,497	\$8,874	\$(14,912)
EBITDA	\$30,769	\$33,134	\$36,037	\$38,189	\$40,449	\$42,347	\$44,321
Total Debt/EBITDA	3.47x	2.82x	2.15x	1.57x	1.00x	0.45x	0.00x
Net Debt/EBITDA	3.15x	2.51x	1.87x	1.31x	0.75x	0.21x	-0.34x
EBIT/Interest	3.37x	4.07x	5.12x	6.57x	9.24x	15.41x	46.93x
Debt Service Coverage (EBITDA) / (Interest + Principal)	1.72x	1.65x	1.67x	1.71x	1.22x	1.77x	2.25x

The credit profile improves from 3.47x Total Debt/EBITDA in 2025 to zero debt by 2031, supported by operating EBITDA growth and debt amortization/cash sweep mechanics.

4. Debt Schedule and DCF Returns

Total Long-Term Debt Schedule

Metric	2025	2026	2027	2028	2029	2030	2031
Closing Balance	101,250	91,250	77,530	60,040	30,645	11,250	-
Interest Expense (avg balance)	7,228	6,564	5,769	4,802	3,640	2,291	789

DCF and Return Outputs

DCF / Returns Metric	Output
Exit Year EBITDA	\$44,321
Exit Multiple	6.00x
Terminal Enterprise Value	\$265,924
Plus: Cash	\$14,912
Less: Debt	\$-
Terminal Equity Value	\$280,836
Unlevered IRR / Discount Rate	19.7%
Levered IRR / Sponsor IRR	30.0%
Sponsor Cash-on-Cash	5.89x

IRR by Investor Type

Investor	IRR	Cash Flow at Entry	Final Exit / Terminal Cash Flow
Term Loan 1	4.7%	\$(50,000)	\$-
Term Loan 2	6.7%	\$(50,000)	\$-
Sub Debt 1	12.0%	\$(11,250)	\$-
Sponsor Equity	30.0%	\$(48,505)	\$280,836

5. Complete Excel Model Appendix

The following appendix reproduces the model content from the uploaded Excel sheet LBO Model, rows 1-356 and columns A-N. Empty spacer rows are omitted for compactness; row numbers are retained to preserve location mapping back to Excel.

Assumptions, Purchase Price, Financing, Sources & Uses

Row	A	B	C	D	E	F	G	H	I	J	K	L	M	N
2	LBO Model for Megamart Co.					Live Case ->	Upside Case		Sponsor IRR ->	0.30		Error Checks ->	OK	
4	Assumptions													
6	General Inputs					Operating Scenarios		2,025	2,026	2,027	2,028	2,029	2,030	2,031
7	LBO Target Name			Megamart Co.		Cases-->	2.00	Base Case	Upside Case	Downside Case				
8	Target Share Price			11.00		Base Case								
9						Revenue Growth Rate		3.0%	3.0%	3.0%	3.0%	3.0%	3.0%	3.0%
10	Transaction Close Date			45,473		Cost of Goods Sold		0.38	0.38	0.38	0.37	0.36	0.36	0.36
11	Year Forecast Starts			2,025		Marketing & Advertising		0.16	0.16	0.16	0.16	0.16	0.16	0.16
12	Fiscal Year End (Month)			3.00		General & Admin (fixed costs)		7,000	7,000	7,500	8,000	8,000	8,500	8,500
13	Fiscal Year End (Day)			31.00		Accounts Receivable Days		10.00	10.00	10.00	10.00	10.00	10.00	10.00
14	Financial Reporting Units			\$ 000s		Accounts Payable Days		30.00	30.00	30.00	30.00	30.00	30.00	30.00
15	Currency			USD		Inventory Days		80.00	80.00	80.00	80.00	80.00	80.00	80.00
16	Days in Year			365.0		Capital Expenditures (% Rev)		0.09	0.09	0.08	0.08	0.08	0.07	0.07
17						Depreciation Rate (% PPE)		20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%
18	Normalized EBITDA for valuation			25,000		Upside Case								
19						Revenue Growth Rate		3.0%	4.0%	5.0%	5.0%	5.0%	4.0%	4.0%
20	Target Debt			16,801		Cost of Goods Sold		0.38	0.37	0.36	0.36	0.36	0.36	0.36
21	Target Cash			57,269		Marketing & Advertising		0.16	0.16	0.16	0.16	0.16	0.16	0.16
22	Restructuring Charges			2,000		General & Admin (fixed costs)		7,000	7,000	7,000	7,000	7,000	7,000	7,000
23	Minimum Cash Balance			10,000		Accounts Receivable Days		10.00	10.00	10.00	10.00	10.00	10.00	10.00
24	Other Closing Costs			2,000		Accounts Payable Days		30.00	30.00	30.00	30.00	30.00	30.00	30.00
25						Inventory Days		80.00	80.00	80.00	80.00	80.00	80.00	80.00
26	Tax Rate			30.0%		Capital Expenditures (% Rev)		8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%
27	Fully Diluted Shares Outstanding (000s)			15,000		Depreciation Rate (% PPE)		0.20	0.20	0.20	0.20	0.20	0.20	0.20
28						Downside Case								
29	Error Checks					Revenue Growth Rate		0.03	0.03	0.02	0.01	-	-	-

Row	A	B	C	D	E	F	G	H	I	J	K	L	M	N
30	Operating Balance Sheet Balances			OK		Cost of Goods Sold		0.39	0.40	0.41	0.41	0.42	0.42	0.42
31	Transaction Balance Sheet Balances			OK		Marketing & Advertising		0.16	0.16	0.16	0.16	0.16	0.16	0.16
32	Cash Sweep can't be >100% of Cash Flow			OK		General & Admin (fixed costs)		7,000	7,000	7,000	7,000	7,000	7,000	7,000
33	Sources and Uses of Cash Balance			OK		Accounts Receivable Days		10.00	10.00	10.00	10.00	10.00	10.00	10.00
34	Debt Principal Repayment = 100%			OK		Accounts Payable Days		30.00	30.00	30.00	30.00	30.00	30.00	30.00
35						Inventory Days		80.00	80.00	80.00	80.00	80.00	80.00	80.00
36	Purchase Price					Capital Expenditures (% Rev)		0.09	0.09	0.09	0.10	0.10	0.10	0.10
37	Enterprise Value			150,000		Depreciation Rate (% PPE)		0.20	0.20	0.20	0.20	0.20	0.20	0.20
38	Less: Total Debt			(16,801)		LIVE Case								
39	Plus: Cash Balance			57,269		Revenue Growth Rate		0.03	0.04	0.05	0.05	0.05	0.04	0.04
40	Equity Offer Value			190,468		Cost of Goods Sold		0.38	0.37	0.36	0.36	0.36	0.36	0.36
41	\$/Share			12.70		Marketing & Advertising		0.16	0.16	0.16	0.16	0.16	0.16	0.16
42	Premium (Discount)			15.4%		General & Admin (fixed costs)		7,000	7,000	7,000	7,000	7,000	7,000	7,000
43						Accounts Receivable Days		10.00	10.00	10.00	10.00	10.00	10.00	10.00
44	Entry EV/EBITDA			6.00x		Accounts Payable Days		30.00x	30.00x	30.00x	30.00x	30.00x	30.00x	30.00x
45	Exit EV/EBITDA			6.00x		Inventory Days		80.00	80.00	80.00	80.00	80.00	80.00	80.00
46						Capital Expenditures (% Rev)		8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%
47	Direct Purchase Price Override		OFF	12.50		Depreciation Rate (% PPE)		0.20	0.20	0.20	0.20	0.20	0.20	0.20
49	Financing													
50								Mandatory Principal Repayment (Loan Amortization)						
51	Type	x EBITDA	\$ Value	% of Total	Financing Fee	Coupon	Sweep	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7
52	Cash (target)		47,269	0.22										
53	Line of Credit	0.25	6,250	0.03	0.01	0.03	na	-	-	-	-	-	-	-
54	Term Loan 1	2.00	50,000	0.23	0.01	0.05	0.50	0.10	0.10	0.10	0.10	0.60	-	-
55	Term Loan 2	2.00	50,000	0.23	0.01	0.07	0.50	0.10	0.10	0.10	0.10	0.10	0.50	-
56	Sub Debt 1	0.45	11,250	0.05	0.01	0.12	-	-	-	-	-	-	-	1.00
57	Sponsor Equity		48,505	0.23	0.01	na	na	-	-	-	-	-	-	-
58	Total	4.70	213,274	1.00			1.00							
61	Sources & Uses of Cash													
62	Sources of Cash					Uses of Cash								
63	Cash (target)		47,269			Cash Consideration		190,468						
64	Line of Credit		6,250			Stock Consideration		-						
65	Term Loan 1		50,000			Target Debt - Replace		16,801						

Row	A	B	C	D	E	F	G	H	I	J	K	L	M	N
66	Term Loan 2		50,000			Debt Financing Fees		1,762						
67	Sub Debt 1		11,250			Equity Financing Fees		242.5						
68	Sponsor Equity		48,505			Other Closing Costs		4,000						
69	Total Sources		213,274			Total Uses		213,274						

Credit Metrics

Row	A	B	C	D	E	F	G	H	I	J	K	L	M	N
83	Credit Metrics													
84							Close	2,025	2,026	2,027	2,028	2,029	2,030	2,031
86	Short Term Debt						6,250	5,592	2,038	-	-	9,852	7,624	-
87	Long Term Debt						111,250	101,250	91,250	77,530	60,040	30,645	11,250	-
88	Total Debt						117,500	106,842	93,288	77,530	60,040	40,497	18,874	-
90	Cash						10,000	10,000	10,000	10,000	10,000	10,000	10,000	14,912
91	Net Debt						107,500	96,842	83,288	67,530	50,040	30,497	8,874	(14,912)
93	Interest Expense							7,228	6,564	5,769	4,802	3,640	2,291	789.4
94	Principal Repayments							10,658	13,554	15,758	17,489	29,395	21,623	18,874
95	Total Debt Service							17,886	20,118	21,527	22,291	33,036	23,914	19,663
97	EBIT							24,369	26,700	29,524	31,544	33,626	35,307	37,044
98	EBITDA							30,769	33,134	36,037	38,189	40,449	42,347	44,321
99	EBITDA - Capex							24,201	26,303	28,865	30,658	32,541	34,122	35,767
100	Fixed Charges							19,058	20,262	21,738	22,635	23,545	24,217	24,891
102	Total Debt/EBITDA							3.47x	2.82x	2.15x	1.57x	1.00x	0.45x	0.00x
103	Net Debt/EBITDA							3.15x	2.51x	1.87x	1.31x	0.75x	0.21x	-0.34x
104	EBIT/Interest							3.37	4.07	5.12	6.57	9.24	15.41	46.93
105	Debt Service Coverage (EBITDA) / (Interest + Principal)							1.72	1.65	1.67	1.71	1.22	1.77	2.25
106	Debt Service Coverage (EBITDA - Capex) / (Interest + Principal)							1.35	1.31	1.34	1.38	0.99	1.43	1.82
107	Fixed Charge Coverage (EBITDA - Capex - Taxes) / (Interest + Principal)							106.6%	100.7%	101.0%	101.5%	71.3%	101.3%	126.6%

Income Statement

Row	A	B	C	D	E	F	G	H	I	J	K	L	M	N
110	Income Statement													
111				2,021	2,022	2,023	2,024	2,025	2,026	2,027	2,028	2,029	2,030	2,031
113	Revenue			57,128	66,132	73,558	79,716	82,108	85,392	89,661	94,145	98,852	102,806	106,918
114	Cost of Goods Sold (COGS)			21,854	26,884	27,511	29,488	31,201	31,595	32,278	33,892	35,587	37,010	38,490
115	Gross Profit			35,273	39,248	46,047	50,228	50,907	53,797	57,383	60,252	63,265	65,796	68,428
117	Marketing, Advertising & Promotion			14,800	12,689	13,369	12,882	13,137	13,663	14,346	15,063	15,816	16,449	17,107
118	General & Administrative			6,140	5,670	5,649	6,172	7,000	7,000	7,000	7,000	7,000	7,000	7,000
119	EBITDA			14,334	20,889	27,029	31,174	30,769	33,134	36,037	38,189	40,449	42,347	44,321
121	Depreciation & Amortization			10,921	10,165	9,635	9,265	6,400	6,434	6,513	6,645	6,822	7,040	7,277
122	EBIT			3,413	10,724	17,394	21,909	24,369	26,700	29,524	31,544	33,626	35,307	37,044
124	Interest			1,400	1,400	840.1	840.1	7,228	6,564	5,769	4,802	3,640	2,291	789.4
125	Current Taxes			892.2	3,858	6,483	7,908	5,143	6,041	7,127	8,023	8,996	9,905	10,876
126	Net Earnings			1,121	5,466	10,071	13,161	11,999	14,095	16,629	18,719	20,990	23,111	25,378

Balance Sheet

Row	A	B	C	D	E	F	G	H	I	J	K	L	M	N
129	Balance Sheet													
130				2,021	2,022	2,023	2,024	2,025	2,026	2,027	2,028	2,029	2,030	2,031
132	Assets													
133	Cash			37,801	44,078	43,749	57,269	10,000	10,000	10,000	10,000	10,000	10,000	14,912
134	Accounts Receivable			2,856	3,307	3,678	3,986	2,250	2,340	2,456	2,579	2,708	2,817	2,929
135	Inventory			4,371	5,377	5,502	5,898	6,839	6,925	7,075	7,428	7,800	8,112	8,436
136	Current Assets			45,029	52,762	52,929	67,153	19,088	19,264	19,531	20,008	20,508	20,928	26,278
137	Property & Equipment			25,482	23,718	22,483	21,618	32,169	32,566	33,226	34,112	35,198	36,383	37,660
138	Goodwill			-	-	-	-	112,649	112,649	112,649	112,649	112,649	112,649	112,649
139	Total Assets			70,510	76,479	75,412	88,771	163,905	164,479	165,406	166,769	168,355	169,960	176,586
141	Liabilities													
142	Short Term Debt			-	-	-	-	5,592	2,038	-	-	9,852	7,624	-
143	Accounts Payable			2,185	2,688	2,751	2,949	2,564	2,597	2,653	2,786	2,925	3,042	3,164
144	Current Liabilities			2,185	2,688	2,751	2,949	8,156	4,635	2,653	2,786	12,777	10,666	3,164
145	Long Term Debt			28,002	28,002	16,801	16,801	101,250	91,250	77,530	60,040	30,645	11,250	-
146	Total Liabilities			30,187	30,690	19,552	19,750	109,406	95,885	80,183	62,826	43,422	21,916	3,164
147	Shareholder's Equity													
148	Equity Capital			39,203	39,203	39,203	39,203	48,505	48,505	48,505	48,505	48,505	48,505	48,505
149	Retained Earnings			1,121	6,586	16,657	29,819	5,994	20,089	36,718	55,438	76,428	99,539	124,918
150	Shareholder's Equity			40,323	45,789	55,860	69,021	54,499	68,594	85,223	103,943	124,933	148,044	173,423
151	Total Liabilities & Shareholder's Equity			70,510	76,479	75,412	88,771	163,905	164,479	165,406	166,769	168,355	169,960	176,586
153	Check			-	-	-	-	-	-	-	-	-	-0.00	-

Cash Flow Statement

Row	A	B	C	D	E	F	G	H	I	J	K	L	M	N
156	Cash Flow Statement													
157				2,021	2,022	2,023	2,024	2,025	2,026	2,027	2,028	2,029	2,030	2,031
159	Operating Cash Flow													
160	Net Earnings			1,121	5,466	10,071	13,161	11,999	14,095	16,629	18,719	20,990	23,111	25,378
161	Plus: Depreciation & Amortization			10,921	10,165	9,635	9,265	6,400	6,434	6,513	6,645	6,822	7,040	7,277
162	Less: Changes in Working Capital			5,042	953.2	433.9	505.7	1,172	144.0	210.6	343.9	361.1	303.3	315.5
163	Cash from Operations			6,999	14,677	19,272	21,921	17,227	20,385	22,931	25,021	27,452	29,848	32,339
165	Investing Cash Flow													
166	Investments in Property & Equipment			(8,401)	(8,401)	(8,401)	(8,401)	(6,569)	(6,831)	(7,173)	(7,532)	(7,908)	(8,224)	(8,553)
167	Investments in Businesses													
168	Cash from Investing			(8,401)	(8,401)	(8,401)	(8,401)	(6,569)	(6,831)	(7,173)	(7,532)	(7,908)	(8,224)	(8,553)
170	Financing Cash Flow													
171	Issuance of Debt (line of credit)			-	-	-	-	-	-	-	-	9,852	-	-
172	Repayment of Debt			-	-	(11,201)	-	(10,658)	(13,554)	(15,758)	(17,489)	(29,395)	(21,623)	(18,874)
173	Issuance of equity			39,203	-	-	-							
174	Repurchase of equity													
175	Payment of Dividends			-	-	-	-							
176	Cash from Financing			39,203	-	(11,201)	-	(10,658)	(13,554)	(15,758)	(17,489)	(19,543)	(21,623)	(18,874)

Working Capital & Depreciation

Row	A	B	C	D	E	F	G	H	I	J	K	L	M	N
183	Working Capital & Depreciation													
184				2,021	2,022	2,023	2,024	2,025	2,026	2,027	2,028	2,029	2,030	2,031
186	Working Capital Schedule													
187	Accounts Receivable			2,856	3,307	3,678	3,986	2,250	2,340	2,456	2,579	2,708	2,817	2,929
188	Inventory			4,371	5,377	5,502	5,898	6,839	6,925	7,075	7,428	7,800	8,112	8,436
189	Accounts Payable			2,185	2,688	2,751	2,949	2,564	2,597	2,653	2,786	2,925	3,042	3,164
190	Net Working Capital (NWC)			5,042	5,995	6,429	6,935	6,524	6,668	6,878	7,222	7,583	7,886	8,202
191	Acquisition Adjustments						1,583							
192	Change in NWC			5,042	953.2	433.9	505.7	1,172	144.0	210.6	343.9	361.1	303.3	315.5
194	Depreciation Schedule													
195	PPE Opening			28,002	25,482	23,718	22,483	32,000	32,169	32,566	33,226	34,112	35,198	36,383
196	Plus Capex			8,401	8,401	8,401	8,401	6,569	6,831	7,173	7,532	7,908	8,224	8,553
197	Less Depreciation			10,921	10,165	9,635	9,265	6,400	6,434	6,513	6,645	6,822	7,040	7,277
198	PPE Closing			25,482	23,718	22,483	21,618	32,169	32,566	33,226	34,112	35,198	36,383	37,660

Debt & Interest Schedules

Row	A	B	C	D	E	F	G	H	I	J	K	L	M	N
201	Debt & Interest Schedules													
202				2,021	2,022	2,023	2,024	2,025	2,026	2,027	2,028	2,029	2,030	2,031
204	Cash Available for Discretionary Debt Repayments													
205	Cash from Operations							17,227	20,385	22,931	25,021	27,452	29,848	32,339
206	Less: Cash used in Investing							(6,569)	(6,831)	(7,173)	(7,532)	(7,908)	(8,224)	(8,553)
207	Less: Mandatory Debt Repayment							(10,000)	(10,000)	(10,000)	(10,000)	(29,395)	(19,395)	(11,250)
208	Plus: Issuance of Equity													
209	Total Cash Generated							658.3	3,554	5,758	7,489	(9,852)	2,228	12,536
211	Opening Cash Balance							10,000	10,000	10,000	10,000	10,000	10,000	10,000
212	Plus: Cash Generated in Period							658.3	3,554	5,758	7,489	(9,852)	2,228	12,536
213	Less: Minimum Cash Balance							(10,000)	(10,000)	(10,000)	(10,000)	(10,000)	(10,000)	(10,000)
214	Cash Available before Revolver Pay Down							658.3	3,554	5,758	7,489	(9,852)	2,228	12,536
215	Revolver Pay Down							(658.3)	(3,554)	(2,038)	-	-	(2,228)	(7,624)
216	Cash Available After Revolver Pay Down							-	-	3,720	7,489	(9,852)	-	4,912
218	Cash Used for Discretionary Payments							-	-	3,720	7,489	-	-	-
220	Line of Credit													
221	Opening Balance							6,250	5,592	2,038	-	-	9,852	7,624
222	Plus: Additions							-	-	-	-	9,852	-	-
223	Less: Repayments							658.3	3,554	2,038	-	-	2,228	7,624
224	Closing Balance						6,250	5,592	2,038	-	-	9,852	7,624	-
226	Total Interest Expense							177.6	114.4	30.57	-	147.8	262.1	114.4
228	Term Loan 1		OK											
229	Opening Balance							50,000	45,000	40,000	33,140	24,395	-	-
230	Less: Required Repayments							5,000	5,000	5,000	5,000	24,395	-	-
231	Less: Discretionary Repayments		0.50					-	-	1,860	3,745	-	-	-
232	Closing Balance						50,000	45,000	40,000	33,140	24,395	-	-	-
234	Interest Expense (avg balance)							2,375	2,125	1,828	1,438	609.9	-	-
236	Term Loan 2		OK											
237	Opening Balance							50,000	45,000	40,000	33,140	24,395	19,395	-
238	Less: Required Repayments							5,000	5,000	5,000	5,000	5,000	19,395	-
239	Less: Discretionary Repayments		0.50					-	-	1,860	3,745	-	-	-
240	Closing Balance						50,000	45,000	40,000	33,140	24,395	19,395	-	-
242	Interest Expense (avg balance)							3,325	2,975	2,560	2,014	1,533	678.8	-
244	Sub Debt 1		OK											
245	Opening Balance							11,250	11,250	11,250	11,250	11,250	11,250	11,250
246	Less: Required Repayments							-	-	-	-	-	-	11,250
247	Less: Discretionary Repayments		-					-	-	-	-	-	-	-
248	Closing Balance						11,250	11,250	11,250	11,250	11,250	11,250	11,250	-
250	Interest Expense (avg balance)							1,350	1,350	1,350	1,350	1,350	1,350	675.0
252	TOTAL LONG TERM DEBT		OK											
253	Opening Balance							111,250	101,250	91,250	77,530	60,040	30,645	11,250
254	Less: Required Repayments							10,000	10,000	10,000	10,000	29,395	19,395	11,250
255	Less: Discretionary Repayments							-	-	3,720	7,489	-	-	-
256	Closing Balance						111,250	101,250	91,250	77,530	60,040	30,645	11,250	-
258	Interest Expense (avg balance)							7,228	6,564	5,769	4,802	3,640	2,291	789.4

Closing Balance Sheet

Row	A	B	C	D	E	F	G	H	I	J	K	L	M	N
261	Closing Balance Sheet													
263	Pro Forma Consolidated Balance Sheet													
264	Step #													
265				Target	FV Adjust	Fair Value	Purchase	Financing	Financing	Financing	Total Adj.	Closing		
266							Transaction	Debt + Equity	Fees	Re-fi Debt				
267	Assets													
268	Cash			57,269	-	57,269	(190,468)	166,005	(6,005)	(16,801)	(47,269)	10,000		
269	Accounts Receivable			3,986	(485.8)	3,500					-	3,500		
270	Inventory			5,898	(1,098)	4,800					-	4,800		
271	Current Assets			67,153								18,300		
272	Property & Equipment			21,618	10,382	32,000					-	32,000		
273	Goodwill			-		-	112,649				112,649	112,649		
274	Total Assets			88,771								162,949		
276	Liabilities													
277	Short Term Debt			-		-		6,250			6,250	6,250		
278	Accounts Payable			2,949		2,949					-	2,949		
279	Current Liabilities			2,949								9,199		
280	Long Term Debt			16,801		16,801		111,250		(16,801)	94,449	111,250		
281	Total Liabilities			19,750								120,449		
282	Shareholder's Equity													
283	Equity Capital			39,203		39,203	(39,203)	48,505			9,303	48,505		
284	Retained Earnings			29,819		29,819	(29,819)		(6,005)		(35,824)	(6,005)		
285	Shareholder's Equity			69,021								42,500		
286	Total Liabilities & Shareholder's Equity			88,771								162,949		
288	Check			-								-		

DCF & Rates of Return

Row	A	B	C	D	E	F	G	H	I	J	K	L	M	N
291	DCF & Rates of Return													
293	DCF Analysis													
294					Entry	2,025	2,026	2,027	2,028	2,029	2,030	2,031	Exit	
295					45,473	2025-03-31	2026-03-31	46,477	46,843	47,208	47,573	47,938	47,938	
296						0.75	1.00	1.00		1.00	1.00	1.00		
297	Enterprise Value													
298	EBIT					24,369	26,700	29,524	31,544	33,626	35,307	37,044		
299	Less: Taxes					7,311	8,010	8,857	9,463	10,088	10,592	11,113		
300	Less: Capex					6,569	6,831	7,173	7,532	7,908	8,224	8,553		
301	Plus: D&A					6,400	6,434	6,513	6,645	6,822	7,040	7,277		
302	Less: Changes in WC					1,172	144.0	210.6	343.9	361.1	303.3	315.5		
303	Unlevered Free Cash Flow (Free Cash Flow to the Firm)					15,718	18,149	19,797	20,851	22,092	23,227	24,339		
305	DCF Values				-	11,788	18,149	19,797	20,851	22,092	23,227	24,339	265,924	
306	IRR Values				(150,000)	11,788	18,149	19,797	20,851	22,092	23,227	24,339	265,924	
308	Equity Value													
309	Cash from Operations					17,227	20,385	22,931	25,021	27,452	29,848	32,339		
310	Less: Capex					6,569	6,831	7,173	7,532	7,908	8,224	8,553		
311	Less: Debt Repayment					10,658	13,554	15,758	17,489	19,543	21,623	18,874		
312	Levered Free Cash Flow (Free Cash Flow to Equity)					-	-	-	-	-	-	4,912		
314	DCF Values				-	-	-	-	-	-	-	4,912	280,836	
315	IRR Values				(48,505)	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	4,912	280,836	
318	Terminal Value				DCF Value					Internal Rate of Return				
319	Exit Year EBITDA		44,321				Discount Rate	NPV						
320	Exit Multiple		6.00x		Enterprise Value		0.20x	150,000		Unlevered		0.20x		
321	Terminal Enterprise Value		265,924		Equity Value		0.30	48,505		Levered		0.30		
323	Plus: Cash		14,912											
324	Less: Debt		-											
325	Terminal Equity Value		280,836											
328	IRR by Investor Type													
329					45,473	45,747	46,112	46,477	46,843	47,208	47,573	47,938	47,938	
330	Investor		IRR		Cash Flow									
331	Term Loan 1		0.05		(50,000)	7,375	7,125	8,689	10,183	25,005	-	-	-	
332	Term Loan 2		0.07		(50,000)	8,325	7,975	9,420	10,758	6,533	20,074	-	-	
333	Sub Debt 1		0.12		(11,250)	1,350	1,350	1,350	1,350	1,350	1,350	11,925	-	
334	Sponsor Equity		0.30		(48,505)	-	-	-	-	-	-	4,912	280,836	
336	Sponsor Cash-on-Cash		5.89x											
339		Sponsor IRR (Entry vs Exit Multiple)							Sponsor Cash-on-Cash (Entry vs Exit Multiple)					
340			Entry EV/EBITDA							Entry EV/EBITDA				
341		0.30	5.00	5.50	6.00	6.50	7.00		5.89	5.00	5.50	6.00	6.50	7.00
342		5.00	0.30	0.30	0.30	0.30	0.30		5.00	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!
343		5.50	0.30	0.30	0.30	0.30	0.30		5.50	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!
344		6.00	0.30	0.30	0.30	0.30	0.30		6.00	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!
345		6.50	0.30	0.30	0.30	0.30	0.30		6.50	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!
346		7.00	0.30	0.30	0.30	0.30	0.30		7.00	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!
349		Sponsor IRR (Senior Debt /EBITDA)												
350			Debt/EBITDA (Term Loan 1)							Debt/EBITDA (Term Loan 1)				
351		0.30	1.50	1.75	2.00	2.25	2.50		5.89	1.50	1.75	2.00	2.25	2.50
352		1.50	0.30	0.30	0.30	0.30	0.30		1.50	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!

Row	A	B	C	D	E	F	G	H	I	J	K	L	M	N
353		1.75	0.30	0.30	0.30	0.30	0.30		1.75	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!
354		2.00	0.30	0.30	0.30	0.30	0.30		2.00	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!
355		2.25	0.30	0.30	0.30	0.30	0.30		2.25	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!
356		2.50	0.30	0.30	0.30	0.30	0.30		2.50	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!